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Adviser V. Anantha
Nageswaran, who
took charge earlier
this year, is at a loss**

to understand the pessimism among global think tanks on India's medium-term growth prospects. India, the CEA says, may be poised to repeat the credit boom it had witnessed between 2003 and 2008, though the magnitude may not be the same. In an exclusive interview with *Business Today's* Global Business Editor *Udayan Mukherjee*, Nageswaran says inflation has peaked in India and financing the current account deficit for the next two years isn't an insurmountable challenge, adding that he is optimistic about the country's economy. Edited excerpts:

Q: The two big problems facing the world today are inflation and a growth slowdown. Till a couple of months ago, all the worry seemed centred around inflation, but in the last few weeks it seems to have changed to slowing growth and recession. Of these two devils which we are battling globally, and locally, which worries you more?

A: As you correctly put it Udayan, in the last few weeks, the focus has indeed shifted to growth concerns rather than inflation concerns and the reason is commodity prices, particularly that of crude oil. Commodity prices have declined meaningfully in the last several weeks, whether it is the price of crude oil, industrial metals, some food items, and the cost of shipping reflected in the Baltic Dry Index; even semiconductor prices have begun to come down and the general feeling, therefore, [is that] central bank tightening will slowly bring inflation back under control.

Even Mohamed El-Erian, the well-known economist and bond-market strategist, says maybe the inflation rate has peaked. And even in India, because of all these global developments and due to the monsoon becoming very active, the concerns now will shift towards growth because inflation may have

peaked at 7 per cent. But if oil prices had remained very high in the \$120-130s, then the concern would have been on both. Though, of course, that is still quite possible as we head into the winter months. Inflation concerns may resurface in Europe and North America if prices of energy commodities go up, but right now I think the feeling is that inflation may be getting tamed precisely because financial markets and commodities markets have begun to price in the impact of the higher interest rates on economic growth. So, between the two, as we speak, the concern indeed has shifted towards growth decline, rather than inflation remaining persistently at very high single digits or in double digits in Europe or North America.

Q: So let me ask you Anantha, is this reason to be happy or unhappy? While one can heave a sigh of relief that inflation is showing signs of peaking, should we be celebrating the fact that growth concerns are on the rise? Surely, the prospect of a deep recession in the US and Europe cannot be great news for the rest of us, can it?

A: Obviously it is difficult to say that one should be happy that the focus is shifting towards a growth slowdown because it may well be inevitable, and also too late to reverse then. And, in the process of reversing, if central banks prematurely shift towards an accommodative stance, or abruptly end their monetary tightening, once again inflation

“Capacity utilisation in some core sectors has picked up to the point where additional capacities may be needed soon. There are signs that in the services sector and in manufactured goods, there is a nascent demand revival”

concerns may resurface. So, it is not easy to say whether this is a happy situation, or even a happier situation compared to what we faced. But from the Indian standpoint, I think the decline in commodity prices caused by concerns about growth in the developed world is a blessing in disguise. To some extent, concerns of economic slowdown in the developed world will necessarily have an impact on